

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Consolidated Statement of Cash Flows

For the year ended 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

	Notes	2025	2024
Cash flows from operating activities			
Profit before zakat		284,745,190	257,045,991
Adjustments:			
Depreciation of property, plant and equipment	9.3	45,316,360	39,068,526
Depreciation of right-of-use assets	10.1	15,895,333	15,931,835
Amortisation of intangible assets	11.2	1,237,037	763,621
Finance cost on lease liabilities	32	13,750,360	13,482,184
Interest on loans	32	51,764,710	73,070,444
Interest income	33	(24,816,236)	(34,754,226)
Amortisation of loan transaction cost	32	8,493,046	3,777,174
Finance cost on long-term payable	32	2,172,757	2,773,724
Adjustment for net realizable value for inventories	13.3	(2,578,484)	(2,571,638)
Finance cost on employees' defined benefit obligations	32	584,000	461,000
Provision for employees' defined benefit obligations	24	(410,009)	3,478,000
Employees' share based payments plan expense	19.4	11,899,089	2,851,403
Expected credit (reversal)/loss on trade receivables	14.2	(306,187)	314,586
Amortisation of cost of hedging	32	4,779,950	2,756,736
Exchange loss on long-term payable		--	622,696
Loss on disposal of property, plant and equipment		--	855,570
Loss on termination of lease liability		--	6,802
		412,526,916	379,934,428
Changes in working capital:			
Inventories		2,519,508	(10,778,579)
Trade receivables		(13,051,061)	(13,797,828)
Prepayments and other current assets		(22,192,901)	(2,229,529)
Trade and other payables		(1,050,221)	11,208,325
Accrued expenses and other current liabilities		24,654,213	12,498,737
Advances from customers		(3,865,032)	5,532,241
Due to related parties		(8,388,452)	(683,006)
Cash generated from operating activities		391,152,970	381,684,789
Employees' defined benefit obligations paid	24	(833,131)	(865,799)
Interest paid		(66,866,090)	(102,911,427)
Interest received		24,816,236	34,890,038
Zakat paid	34.2	(6,172,426)	(6,862,509)
Net cash from operating activities		342,097,559	305,935,092
Cash flows from investing activities			
Additions to property, plant and equipment		(81,919,290)	(53,585,113)
Additions to intangible assets	11.1	(3,183,014)	(3,795,986)
Proceeds from disposal of property, plant and equipment		--	1,267,148
Acquisition of subsidiaries		(99,071,474)	--
Net cash used in investing activities		(184,173,778)	(56,113,951)
Cash flows from financing activities			
Dividends paid	20	(152,904,000)	(163,673,904)
Purchase of treasury shares	19.5	--	(25,318,388)
Proceeds from long-term loans		49,050,000	144,450,000
Proceeds from short-term loan		120,000,000	--
Repayment of long-term loans	22	(167,697,206)	(181,697,715)
Repayment of short-term loan		(80,000,000)	--
Repayment of lease liabilities	21.3	(18,377,536)	(13,545,414)
Payment of long-term liabilities		(8,314,122)	(9,601,562)
Net cash used in financing activities		(258,242,864)	(249,386,983)
Net change in cash and cash equivalents during the year		(100,319,083)	434,158
Cash and cash equivalents as at the beginning of the year	16	192,540,441	192,106,283
Effect of movement in exchange rate on cash held		1,085,741	--
Cash and cash equivalents at the end of the year	16	93,307,099	192,540,441

The accompanying notes from 1 to 40 form an integral part of these financial statements.


Tariq Mutlaq Abdullah AIMutlaq
Chairman


Abdullah Abdul-Aziz Abdullah Ababtain
CEO


Alaaeldin Mohammed Shousha
CFO

THE FIRST MILLING COMPANY (A Saudi Joint Stock Company)

Notes to the Consolidated Financial Statements

As at 31 December 2025

(Expressed in ﷲ, unless otherwise specified)

1. COMPANY INFORMATION

The First Milling Company (the “Company” or the “Parent Company”) is a Saudi Joint Stock Company incorporated in the Kingdom of Saudi Arabia under unified number 7003698904 and commercial registration number 4030291813 dated 10 November 2016 (corresponding to 10 Safar 1438H).

The Company was established as part of the Kingdom’s flour milling privatization program and was fully acquired by Al Raha Al Safi Food Company on 31 December 2020 (corresponding to 16 Jumada Al Awal 1442H). The Company was listed on the Saudi Exchange (Tadawul) on 22 June 2023 (corresponding to 4 Dhul Hijjah 1444H).

The Company is principally engaged in flour production and related wheat products, feed and bran within the Kingdom of Saudi Arabia. Selling prices for certain flour products (45kg and above) are regulated by General Food Security Authority (“GFSA”).

As at 31 December, the Company holds investments in subsidiaries as disclosed in Note 8.

The registered address of the Company is as follows:

Jeddah Islamic Port
Between Gates 7 and 8
Jeddah 22312
Kingdom of Saudi Arabia

The Company is the ultimate controlling party of the Group. As at 31 December 2025, the Company has an investment in the following subsidiaries:

Subsidiary name	Country of incorporation	Principal business activity	Effective ownership interest (%)	
			31 December 2025	31 December 2024
First Food Supplies Company Limited	Saudi Arabia	Distribution	100	100
Al-Manar Feed Company Limited	Saudi Arabia	Feed Production	100	--
Al-Kenan Arabia Trading Company	Saudi Arabia	Distribution	60	--

These accompanying consolidated financial statements comprise the financial statements of The First Milling Company (the “Company” (or) the “Parent Company”) and its subsidiaries (collectively referred to as the “Group”).

The Group operates through four branches, which are as follows:

Branch Location	Date	Commercial Registration No.
Jeddah	28 March 2017 (corresponding to 29 Jumada Al Thani 1438H)	4030294014
Qassim	28 March 2017 (corresponding to 29 Jumada Al Thani 1438H)	1131057624
Al Ahsa	28 March 2017 (corresponding to 29 Jumada Al Thani 1438H)	2250067938
Tabuk	28 March 2017 (corresponding to 29 Jumada Al Thani 1438H)	3550038652